

2-4 Trial Balance

Errors may occur in posting debits and credits from the journal to the ledger. One way to detect such errors is by preparing a

Objective 4 - Prepare an unadjusted trial balance and explain how it can be used to discover errors.

trial balance (A summary listing of the titles and balances of accounts in the ledger, which is used to verify that debits equal credits.)

. Double-entry accounting requires that debits must always equal credits. The trial balance verifies this equality. The steps in preparing a trial balance are as follows:

Step 1.

List the name of the company, the title of the trial balance, and the date the trial balance is prepared.

Step 2.

List the accounts from the ledger, and enter their debit or credit balance in the Debit or Credit column of the trial balance.

Step 3.

Total the Debit and Credit columns of the trial balance.

Step 4.

Verify that the total of the Debit column equals the total of the Credit column.

The trial balance for **NetSolutions** as of December 31, 20Y3, is shown in **Exhibit 7**. The account balances in **Exhibit 7** are taken from the ledger shown in **Exhibit 6**. Before a trial balance is prepared, each account balance in the ledger must be determined. When the standard four-column account form is used as in **Exhibit 6**, the balance of each account appears in the Balance column on the same line as the last posting to the account.

Exhibit 7

Trial Balance

Step 1	NetSolutions Unadjusted Trial Balance December 31, 20Y3		
	Account	Debit	Credit

	No.	Balances	Balances
Cash	11	2,065	
Accounts Receivable	12	2,220	
Supplies	14	2,000	
Prepaid Insurance	15	2,400	
Land	17	20,000	
Office Equipment	18	1,800	
Accounts Payable	21		900
Unearned Rent	23		360
Common Stock	31		25,000
Dividends	33	4,000	
Fees Earned	41		16,340
Wages Expense	51	4,275	
Supplies Expense	52	800	
Rent Expense	53	1,600	
Utilities Expense	54	985	
Miscellaneous Expense	59	455	
		<u>42,600</u>	<u>42,600</u>

Step 2

Steps 3-4

The trial balance shown in Exhibit 7 is titled an **unadjusted trial balance** (A trial balance prepared at the end of an accounting period before adjusting entries are made.)

. This is to distinguish it from other trial balances that will be prepared in later chapters. These other trial balances include an adjusted trial balance and a post-closing trial balance.